



Garnett Station Partners: Credit Opportunities Fund 2.0 Q2 2025 Investor Report

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"Gross MOIC" (referred to as "gross multiple on invested capital", i.e., the "total value" divided by "called capital") represents the multiple of "called capital" (presented on a levered basis inclusive of the effect of various financing facilities including a Fund-level subscription line and Fund-level total return swap ("TRS") facility), and does not reflect the deduction of management fees, investment-level expenses, fund-level expenses, carried interest or other incentive-based compensation and other fees and expenses borne by investors, which will reduce returns and may be significant.

"Net MOIC" refers to the levered net multiple of called capital (i.e., (x) the total actual levered cash flows of each position through June 30, 2025 (the "Measurement Period"), including the hypothetical repayment of any current positions as of the Measurement Period based on a valuation as determined by an unrelated third-party, and includes deductions for management fees, carried interest and other fees and expenses, divided by (y) total called capital).

"Gross IRR" refers to the aggregate, annual, compound, gross internal rate of return on an investment (presented on a levered basis inclusive of the effect of various financing facilities including a Fund-level subscription line and Fund-level TRS facility) which is based on (i) the actual cash inflows (including cash interest expense, delayed compensation, amortization payments, and realized proceeds from sales of positions) on the date each such inflow occurred and, with respect to any unrealized investment, the unrealized value as a terminal value as of the final day of the Measurement Period, and (ii) with respect to outflows, the cash movement on each date the relevant trade settled or various position-level financing expenses occurred, unless otherwise indicated. "Gross IRR" does not reflect the deduction of management fees, investment-level expenses, fund-level expenses, carried interest or other incentive-based compensation and other fees and expenses borne by investors, which will reduce returns and may be significant. An individual investor's Gross IRR is based on the actual timing of the cash outflows and inflows at the position level and thus may vary based on the timing of capital contributions from and distributions to investors. "Gross IRR" for any unrealized investment is not based on the actual timing of the capital outflows but takes into account the unrealized value as explained above.

"Net IRR" is calculated based on levered position-level cash outflows and inflows for each position as of the Measurement Period, which reflects the impact of all fund-level expenses, management fees and carried interest. Net IRR is calculated on standard limited partner terms. For trades, the cash outflow or inflow date is the date on which trades settled, while any cash interest expense or income, amortization, or other income or

expenses as received or incurred, respectively, are the dates of the actual cash flows and the illustrative portfolio liquidation date is as of the final day of the Measurement Period. These returns do not represent the actual returns of any particular investor.

“Regulatory Net IRR” is a hypothetical performance metric that is designed to show net returns if GSP had not used a subscription line of credit in respect of an investment, and is provided for illustrative purposes only. No such investors in the Fund experienced such hypothetical performance. Regulatory Net IRR relies on certain assumptions, including that Fund capital was uniformly invested in positions at the time all such trades settled instead of the time Fund capital was actually allocated to the name. Regulatory Net IRR reflects the deduction of management fees, carried interest, and other fees and expenses, but does not reflect the deduction of any interest expense or other borrowing costs since it assumes no subscription line of credit or bridge financing was used for any of the Fund’s investments. An individual investor’s actual Net IRR will vary based on the timing of capital contributions and distributions and will be affected by the Fund’s use of a subscription line of credit or bridge financing. Net Performance figures for “extracted performance,” e.g., individual investments or investments representing subsets of an individual fund’s performance, are estimated and do not represent actual performance experienced by investors. These figures have been calculated on a model basis for the Fund by applying the gross and net performance spread of the Fund using the relevant metrics to the investment(s) shown. These figures illustrate the potentially substantial impact of fees, carried interest, and expenses on the gross returns of extracted performance, even though these amounts are charged or allocated at the Fund level.

Certain investment calculations contained herein include unrealized investment amounts. While GSP’s valuations of unrealized investments are based on assumptions that GSP believes are reasonable under the circumstances, actual realized returns on unrealized investments will depend on, among other factors, future operating results, the value of the assets and market conditions at the time of disposition, any related transaction costs and the timing and manner of the sale, all of which may differ from the assumptions on which the valuations used in the performance data contained herein are based. Accordingly, the actual realized returns on these unrealized investments may differ materially from the assumed returns indicated herein. The actual realized return of any unrealized investments may differ materially from the current asset valuation indicated herein.

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Select investments are presented for informational purposes only and are intended to illustrate GSP’s sourcing experience and the profile and types of investments previously pursued by GSP. It should not be assumed that investments made in the future will be comparable in quality or performance to the investments described herein. Further, references to individual investments should not be construed as a recommendation of any particular investment or security.

The interests in the Fund have not been recommended, approved or disapproved by the U.S. Securities and Exchange Commission (the “SEC”) or by the securities commission or regulatory authority of any state or of any other U.S. or non-U.S. jurisdiction, nor has the SEC or any such securities regulatory authority passed judgment upon the accuracy or adequacy of these materials. Any Fund securities will be subject to significant restrictions on transfer under the federal securities laws and the limited partnership agreement of the Fund. There is no trading market for the Fund’s securities, and none is expected to develop. Therefore, investors should have the financial ability and willingness to accept the high risk and lack of liquidity inherent in an investment in the Fund for an extended period of time.

GSP Credit Opportunities Fund 2.0

COF 2.0	Initial Closing Date	Invested Capital ¹	Gross MOIC ² /IRR	Net MOIC ² /IRR	Regulatory Net IRR
	October 2023	\$145mm (Net of Returned Capital)	1.2x / 39.2%	1.1x / 18.6%	13.6%

We capitalized on the post “Liberation Day” sell off in April, adding ~\$40mm exposure in the four weeks following April 2nd as we built positions in several companies in our credit universe. Although the credit markets have broadly recovered since then, we remain focused on the smaller capital structures in our sectors where we continue to see the cash flow pressures from integration challenges in roll-up strategies, sustained higher interest rates and growth capex plans. We believe our current portfolio offers a compelling risk-reward and we have intentionally included a cohort of short-duration credits we believe can be seamlessly converted into more buying power if a deeper market dislocation (potentially driven by tariffs, labor market weakness, inflation, and / or a weaker consumer) or company-specific events create buying opportunities.

Since Q1’25, we have added ~\$137mm to new or existing investments in the Fund, including:

- *Cooper’s Hawk First Lien Term Loan*: Cooper’s Hawk is a polished casual restaurant brand operating 69 restaurants across 12 states supported by a subscription wine club with ~761k members. We initiated our position after directly sourcing from a CLO when it needed to sell for technical reasons. Since our involvement, the company has continued to outperform industry benchmarks for same-store-sales and new units have ramped in-line with our expectations. Through our existing involvement with the credit and relationship with the sponsor, we participated in an attractive new loan in the high-quality company that we believe continues to be misunderstood given its focus on and investment in unit growth.
- *Franchise Group Take-Back First Lien Term Loan*: Franchise Group is a multi-brand operator of franchised consumer businesses, including Pet Supplies Plus, a leading US Pet care franchisor and Buddy’s, a franchisor of “rent-to-own” furniture stores. GSP led the restructuring through an investment in our private equity platform, whereby we played a large role in constructing the post-reorganization capital structure. COF 2.0 owns the “take-back” term loan, which has a <35% LTV and <2.5x net leverage, high current yield, and lender-friendly credit agreement.
- *CEC Entertainment Secured Notes*: CEC Entertainment is an operator and franchisor of 672 family entertainment and dining venues under brands Chuck E Cheese (563 units) and Peter Piper Pizza (109 units). Chuck E Cheese positions itself as a low-cost entertainment option for children between ages 2-12 with a focus on birthday parties and other occasions. The notes detach at 3.7x net and the concept was extremely resilient during the global financial crisis - the brand has seen positive same-store-sales since early 2024, while the overall large-box entertainment industry has remained pressured by overall discretionary spend (e.g., Dave & Busters, TopGolf, etc.). We have diligenced the credit several times over the years, including evaluating a loan-to-own opportunity during COVID. We purchased the notes at a discount to par with a low detach and expect the ability to participate in what we believe is an attractive refinancing opportunity.
- *Sizzling Platter First Lien Term Loan*: Sizzling Platter is a multi-brand franchisee with 826 units primarily in the Little Caesars (471 units), Wingstop (187 units), Jamba (89 units), and Jersey Mike’s (33 units) franchise systems. Sizzling Platter is either the largest or second largest franchisee in each of these systems and is often the first institutional franchisee operator in its franchise systems. We have evaluated investment opportunities in the name for years until it was recently acquired by Bain Capital, a blue-chip equity sponsor in the restaurant sector. We initiated our first lien position at a net detachment of ~5.4x (with scaled franchisees trading for >8x) in a deal where credit investors did not appreciate the expected deleveraging driven by unit growth. We expect Sizzling to continue investing in accretive new units, primarily in Wingstop and Jersey Mike’s, which we anticipate will delever the platform and continue to drive increasing free cash flow.
- *Thrive Healthcare (formerly Pathway Veterinary) Superpriority First Lien Term Loan*: Thrive Healthcare is a pet healthcare company with offerings across all levels of care, including primary, specialty, and emergency vet services, with over 360 hospitals. Thrive Healthcare is a large veterinary consolidator facing similar headwinds as its competitors - high overall levels of debt

¹ As of 6/30/2025; actual capital called shown net of the return of capital following the closing of various financing facilities and not factoring capital recycled.

² As of 6/30/2025; MOIC based upon net capital called.

due to previous acquisition strategies, M&A integration challenges and staffing pressures due to a limited supply of veterinarians. GSP's investment is in the recently issued \$416mm superpriority first out loan which detaches at ~4x EBITDA (relative to vet platforms that trade at >12x) and is senior to a \$1.3bn legacy term loan trading at ~80 cents, implying an LTV for our investment of ~30%.

We also added to our positions in Fogo de Chao, OYO Hotels, TruGreen, and initiated new positions in United Fitness Partners (the largest Planet Fitness franchisee and a name we generated a very compelling return on in the COF 2.0 fund in '23/'24), Flynn Group and Bay Club as they reached our target prices.

We remain prepared with an extensive and regularly maintained underwriting of 60+ credits, supplemented with in-depth learnings from our private equity platform, to build positions in loans when there is an opportunity to buy at our price targets. We seek to stress cash flows and look to mid-cycle valuation multiples to assess our coverage through any earnings or macro weakness that may come.

We are preparing a supplemental presentation for investors, which will provide further insight into the composition and outlook for the portfolio.

As of August 14, 2025, COF 2.0 will be ~90% invested (excluding recallable distributions). We plan on raising our next fund in the series, Credit Opportunities Fund 3.0, in the fall, which is expected to continue to seek equity-like returns in the credits of companies across sectors we know well. We look forward to discussing this with you.

